

Date: 16th February, 2026

To,
The Board of Directors,
Kizi Apparels Limited
H-629 Phase – II, RIICO IND Area, Sitapura,
Sitapura Industrial Area, Jaipur,
Rajasthan, India – 302022

Dear Sir(s),

Subject: Recommendation of Fair value for the proposed Preferential Issue of Warrants under Regulation 164 and 166A of Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018

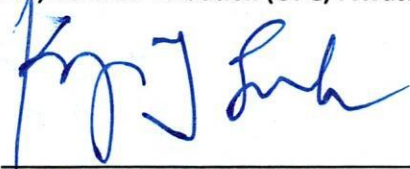
Ref: Engagement Letter dated 06th February, 2026

We refer to our discussions on the afore-mentioned subject. As per the scope of work, we have summarized our Valuation Analysis of the Equity Shares of face value of Rs. 10/- each ("Equity Shares") of Kizi Apparels Limited ("Company") for the determination of Fair Value for Proposed Issue of Share Warrants Convertible into equivalent number of Equity Shares ("Warrants") on preferential basis to selected group of the investors of the Company together with the description of the methodology used and limitations.

The Report is enclosed herewith.

Thanking You,

For, Atharva Valuation (OPC) Private Limited



Keyur J. Shah
DIN: 03111182
Director/Registered Valuer
Reg. No.: IBBI/RV-E/03/2022/174



Encl: As above

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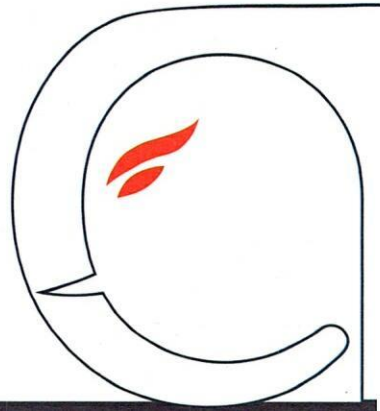
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REPORT ON
FAIR VALUE OF EQUITY SHARES OF
KIZI APPARELS LIMITED
FOR THE PURPOSE OF
FURTHER ISSUE OF WARRANTS

Prepared by
Atharva Valuation (OPC) Private Limited,
Registered Valuer Entity

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February, 2026

Disclaimer Clause: Utmost care has been taken while preparing this document to ensure that the facts stated are accurate and the opinions given are fair and reasonable, neither the Atharva Valuation (OPC) Private Limited, Registered Valuer Entity nor any Director/Officer/Employee of the Registered Valuer Entity shall in any way be responsible for the contents



Continuation Sheet

TABLE OF CONTENTS

1.	SPECIFIC INFORMATION ON THE VALUATION ASSIGNMENT.....	4
2.	GENERAL INFORMATION ON THE COMPANY	6
3.	SHARE HOLDING PATTERN	6
4.	INSPECTION AND/OR INVESTIGATION UNDERTAKEN	7
5.	CONFIDENTIALITY NOTE.....	7
6.	ABOUT THE INDUSTRY –.....	7
6.1	MARKET SCENARIO – GLOBAL.....	7
6.2	MARKET SCENARIO – INDIAN	7
7.	VALUATION METHODOLOGIES.....	8
8.	REGULATORY FRAMEWORK UNDER SEBI ICDR REGULATIONS.....	11
8.1	DETERMINATION OF FREQUENTLY TRADED SHARES STATUS	12
8.2	REGULATION 164 - VALUATION OF FREQUENTLY TRADED SHARES	13
8.3	REGULATION 166A - PREFERENTIAL ALLOTMENT REQUIRING VALUATION REPORT	13
9.	SOURCES OF INFORMATION	14
10.	EXCLUSIONS AND LIMITATION	15
11.	VALUATION CONCLUSION.....	18
12.	COMPLIANCE WITH REGULATION 166A	18
13.	RECOMMENDATIONS.....	19
	ANNEXURE – A.....	21
	ANNEXURE - B.....	22
	ANNEXURE – C.....	26



1. SPECIFIC INFORMATION ON THE VALUATION ASSIGNMENT

Name of Company	Kizi Apparels Limited CIN: L14109RJ2023PLC086522 Registered Office: H- 629 Phase - II RIICO IND Area Sitapura, Jaipur, Rajasthan, India, 302022
Appointing Authority	The Board of Directors of the Company, pursuant to the applicable provisions of the SEBI ICDR Regulations, has appointed the Registered Valuer through formal Engagement Letter and Board Resolution dated 06 th February, 2026
Date of Appointment	06 th February, 2026
Registered Valuer Entity	Atharva Valuation (OPC) Private Limited Registration No.: IBBI/RV-E/03/2022/174 Registered with the Insolvency and Bankruptcy Board of India under the asset class of Securities or Financial Assets
Purpose of Valuation	To determine the Fair Value of Equity Shares of Kizi Apparels Limited for the purpose of Preferential Issue of Share Warrants Convertible into equivalent number of Equity Shares ("Warrants") under Chapter V of SEBI ICDR Regulations, 2018 in compliance with Regulation 164 and Regulation 166A of the SEBI ICDR Regulations, 2018.
Valuation Date / Relevant Date	06 th February, 2026 (Relevant date) (Being 30 days prior to the proposed General Meeting of Shareholders)
Valuation Standard	• International Valuation Standards (IVS) 2022 issued by the International Valuation Standards Council (IVSC) • Compliance with Regulation 164 and Regulation 166A of SEBI ICDR Regulations, 2018 • Companies Act, 2013 - Section 62(1)(c) read with Companies (Registered Valuers and Valuation) Rules, 2017 • IBBI (Registered Valuers and Valuation) Regulations, 2016
Basis of Value	Fair Value (Fair Market Value) as defined under IVS 104 – Bases of Value
Valuation Approaches	• Asset Approach (Net Asset Value Method) • Income Approach (Discounted Cash Flow Method) • Market Approach (Comparable Companies Multiples Method) as applicable to the Company pursuant to the Reg 166A of the SEBI ICDR



Declaration of Independence	The Valuer hereby declares that it acts as an independent professional valuation firm for this valuation assignment. The Valuer is not interested or concerned, financially or otherwise, directly or indirectly in Kizi Apparels Limited. The Valuer has no pecuniary relationship or transactions with the Company that would compromise independence.
Investigation and Inspection	The Valuer has examined and relied upon: • Audited and unaudited financial statements; • Management projections and business plans; • Shareholding pattern and statutory filings; • Market data and industry reports; and • Legal and regulatory documents as detailed under "Sources of Information"

The said valuation is conducted after considering the following International Valuation Standards (IVS) and Rules prescribed in the Companies (Registered Valuers and Valuation) Rules, 2017, which are as mentioned below:

Provision	Particulars
IVS 101 - Scope of Work	Scope of work is as per the fundamental terms of a valuation, such as the asset(s) being valued, the purpose of the valuation and the responsibilities of parties involved in the valuation. Explained in detail under Para 1 and 4 in the Report.
Rule 8(3) of the Companies (Registered Valuers and Valuation) Rules, 2017 and IVS 103 - Reporting	The Contents of Valuation Report are as per the applicable Rule and standard as prescribed. Explained in detailed under para 10 (e) in the Report.
IVS 102 - Investigation and Compliance	The Valuer has made appropriate Investigations with the management of the Company and verified the projections and other financial data to derive the valuation commensurate with the IVS 102.
IVS 105 - Valuation Approaches and Method	Consideration must be given to the relevant and appropriate valuation approaches. One or more valuation approaches may be used in order to arrive at the value in accordance with the basis of value. The Valuer has duly considered the three approaches described and defined below in valuation. The approaches are based on the economic principles of price equilibrium, anticipation of benefits or substitution. The principal valuation approaches are: (a) market approach, (b) income approach, and (c) cost approach.
IVS 200 - Business and Business Interests	The additional requirements that apply to valuations of businesses and business interests, wherever applicable is taken into consideration.



IVS 220 - Non-Financial Liability	The additional requirements that apply to valuations of non-financial liabilities, wherever applicable is taken into consideration. However, as per the information made available by the management, there are no identifiable non-financial liability to the Company.
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This report shall not be used as a base for any purpose, other than that mentioned under the clause **"Purpose of Valuation"** of this report.

While utmost care has been taken in preparing this report to ensure that the facts stated are accurate and reasonable, neither the Valuer nor any officer or employee of the Valuer shall in anyway be responsible for the contents therein.

The valuation is purely indicative and it is the prerogative of the Company to rely on the fair value of the equity shares and decide upon the same. The fair value may be higher or lower than our indicative analysis of value depending upon the circumstances and the industry practice. The final value is something that the management will have to decide upon.

2. GENERAL INFORMATION ON THE COMPANY

KIZI APPARELS LIMITED

Kizi Apparels Limited is a Public Listed Company incorporated on 24th March, 2023 under the Companies Act, 2013 having CIN: L14109RJ2023PLC086522. The Company has its registered office situated at H- 629 Phase - II RIICO IND Area Sitapura, Jaipur, Rajasthan, India, 302022.

The Company is engaged in the business of manufacturing, trading, import and export of garments, textiles, apparel, fashion and lifestyle products and related accessories.

The Company has no subsidiary or associate companies.

3. SHARE HOLDING PATTERN

The Shareholding pattern of the Company as on 6th February, 2026 ("Valuation Date") is as following:

Sr. No.	Category	No. of Shares Held	Percentage of Shareholding
1	Promoter & Promoter Group	44,78,800	57.28%
2	Public Shareholders	33,40,400	42.72%
Total		78,19,200	100.00%

Hence, for the purpose of Fair Value of Equity shares, the Valuer has considered 78,19,200 Equity Shares on fully diluted basis as on valuation date.



4. INSPECTION AND/OR INVESTIGATION UNDERTAKEN

Website of Ministry of Corporate Affairs (MCA) and website of the Company was visited to carry out the inspection of publicly available information. The Valuer has considered the balance sheet and other data furnished by the management of the Company.

5. CONFIDENTIALITY NOTE

The information contained in this document is privileged and confidential. It is intended only for the use of the addressee named above and for the purpose mentioned under clause 2 "**Purpose of Valuation**" of this report.

Intended party for use of report is the appointing authority and those to whom the report is addressed. The report shall not be disclosed or shared to any third party, without prior written consent of the Valuer, except as required by law. Any retention, dissemination, distribution or copying or sharing of any information from this document is strictly prohibited.

6. ABOUT THE INDUSTRY –

6.1 MARKET SCENARIO – GLOBAL

The global textile market size was estimated at USD 1.16 billion in 2025 and is projected to reach USD 1.61 billion by 2033, growing at a CAGR of 4.2% from 2026 to 2033. The demand for textiles is rising due to fast fashion, growing urbanization, and increasing disposable incomes in emerging economies. The clothing textiles segment accounted for the highest market share in 2023 and is expected to grow at a significant CAGR during the forecast period. The synthetic segment accounted for the highest share with 66.7% in 2023 and is expected to grow at a significant CAGR during the forecast period.

6.2 MARKET SCENARIO – INDIAN

India is the 6th largest exporter of Textiles & Apparel in the world in 2023. The share of textile and apparel (T&A) including handicrafts in India's total exports stands at a significant 8.21% in 2023-24. Our country has a share of 3.9% of the global trade in textiles and apparel. Major textile and apparel export destinations for India are USA and EU and with around 47% share in total textile and apparel exports. India is a major textile and apparel exporting country and enjoys trade surplus. Bulk of import takes place for re-export or for industry requirement of raw material.



7. VALUATION METHODOLOGIES

Aspect	Income Approach	Market Approach	Cost / Asset (NAV) Approach
Valuation Principle Applied	Present Value of Future cash flows	Relative Valuation based on market multiples of comparable listed companies/transactions.	Book Values or Realizable Values of Assets after considering balance sheet
Relevant Parameters	Free Cash Flow to Firm (FCFF), discount rate (WACC), terminal growth	Earnings, Book Value, valuation multiples (P/E, P/B) of comparable listed companies	Adjusted net asset value based on audited balance sheet
Appropriate situations to which the method may be applied	Company is a going concern and future cash flows can be reasonably projected	Appropriate listed comparables and market data are available; used as primary or as cross-check to DCF	Used when going concern assumption is doubtful, or for newly incorporated / asset-heavy entities

To carry out a valuation analysis, we consider certain fundamental factors that affect the wealth-generating capability of the company. These include:

- The general economic outlook as well as the current and expected conditions in the business environment and the industry's relationship with the economy.
- The competitive environment prevailing within related industry.
- The relative competitive advantages of the business in terms of service capability, management capabilities and the quality of the clients of the entity.
- The historical financial and operational performance of the business, etc. Accordingly, a typical valuation analysis involves review and analysis of historical financials of the company and forecasted financial projections and regards all the significant macro and micro variables like:
 - Sales and profit growth rate assumptions.
 - Company's profitability factors (industry competitive factors and Company's operating strategies and its competitive position in the industry), nature of internal and external (dis)economies of scale.
 - Accounting practices and legal provisions, etc.

Valuation is not merely a matter of mathematics or science with that kind of precision or rationality. It also involves use of skills of judgment by the Valuer to bring impact of various non-quantifiable factors to bear on the valuation analysis. In the ultimate analysis, valuation will have to be tempered by the exercise of judicious discretion and judgment considering all the relevant factors.

There will always be several factors, e.g., quality and integrity of the management, present and prospective competition, yield on comparable securities and market sentiment, etc. which are not evident from the face of the balance sheets but will strongly influence the worth of a share.



We have considered and adopted the International Valuation Standards (IVS) published by The International Valuation Standards Council (IVSC), which is the independent global standard setter for the valuation profession.

The valuation of equity shares requires the application of appropriate methodologies that reflect the economic characteristics of the business, the nature of its assets, and the regulatory framework governing the valuation assignment. The Valuer has carefully considered the business model of Span Divergent Limited, which operates as a holding company with investments in operating subsidiaries across diverse sectors, and has determined that a Sum-of-Parts ("SoP") valuation approach is the most appropriate methodology for this assignment.

The International Valuation Standards (IVS) recognize three fundamental valuation approaches: the Market Approach, the Income Approach, and the Asset (Cost) Approach.

7.1 ASSET APPROACH (NET ASSET VALUE METHOD)

The Net Asset Value ("NAV") method represents the Asset Approach to valuation as contemplated under IVS 105. This method is particularly relevant for entities with significant tangible asset bases or where the business model does not support reliable cash flow projections.

Conceptual Foundation:

The NAV method determines fair value based on the difference between the fair value of a company's total assets and the fair value of its total liabilities. The fundamental equation is:

Net Asset Value = Total Assets - Total Liabilities - Intangible Assets (if applicable) + Revaluation Adjustments

For the purpose of this valuation, the NAV method has been applied with the following adjustments:

Book Value as Starting Point: The audited or provisional financial statements provide the book value of assets and liabilities as the foundation.

Exclusion of Intangible Assets: Goodwill, intellectual property, and other intangible assets are excluded unless they represent separable, identifiable assets with independent market value.

Revaluation of Assets: Where appropriate and material, tangible assets are adjusted to reflect current market values or replacement cost, particularly for real estate, plant and machinery, and investments.

Contingent Liabilities: Potential liabilities that are probable and estimable are adjusted to reflect their fair value impact.

Off-Balance Sheet Items: Operating leases, commitments, and other off-balance sheet items are evaluated for their value impact.



Continuation Sheet

The detailed workings are annexed hereto **Annexures C**.

7.2 INCOME APPROACH (DISCOUNTED CASH FLOW METHOD)

The Discounted Cash Flow ("DCF") method is the primary application of the Income Approach under IVS 105. This methodology is widely recognized as the most theoretically sound approach for valuing operating businesses with predictable cash flows and available financial projections.

Theoretical Foundation:

The DCF method is premised on the fundamental principle that the value of an asset is equal to the present value of all future cash flows that the asset is expected to generate. For an operating business, this translates to the present value of projected Free Cash Flows to the Firm ("FCFF") or Free Cash Flows to Equity ("FCFE"), discounted at an appropriate risk-adjusted discount rate.

$$\text{Enterprise Value} = \sum [\text{FCFF}_t / (1+\text{WACC})^t] + \text{Terminal Value} / (1+\text{WACC})^n$$

Where:

- FCFF_t = Free Cash Flow to Firm in year t
- WACC = Weighted Average Cost of Capital
- n = Terminal year
- Terminal Value = Value of cash flows beyond the explicit forecast period

Key Components of DCF Analysis:

Projection Period: A 5-year explicit forecast period has been utilized, consistent with industry practice and the availability of management projections. This period allows for normalization of operating performance while maintaining reasonable reliability of assumptions.

Free Cash Flow Calculation: FCFF is calculated as EBIT(1-Tax Rate) + Depreciation - Capital Expenditure - Increase in Net Working Capital. This represents the cash flow available to all providers of capital (debt and equity).

Weighted Average Cost of Capital (WACC): WACC is calculated using the Capital Asset Pricing Model (CAPM) for cost of equity:

$$\text{Cost of Equity} = \text{Risk-free Rate} + (\text{Beta} \times \text{Equity Risk Premium}) + \text{Company-specific Risk Premium}$$

$$\text{WACC} = (E/V \times \text{Cost of Equity}) + (D/V \times \text{Cost of Debt} \times (1-\text{Tax Rate}))$$

where E = Market Value of Equity, D = Market Value of Debt, V = E + D



Terminal Value: Terminal value is calculated using the Gordon Growth Model (perpetuity growth method):

$$\text{Terminal Value} = \text{FCFF} * (1+g) / (\text{WACC} - g)$$

where g = long-term sustainable growth rate, typically aligned with GDP growth or industry growth expectations.

Value of Non-Operating Assets: Cash, marketable securities, and other non-operating assets are added to the Enterprise Value to arrive at Equity Value.

The detailed workings are annexed hereto as **Annexure C**.

7.3 MARKET APPROACH (COMPARABLE COMPANIES MULTIPLES)

The Market Approach, as defined under IVS 105, utilizes prices and relevant information from market transactions involving identical or comparable assets. For equity valuations, this typically involves the application of trading multiples derived from publicly listed comparable companies.

Conceptual Framework:

The Comparable Companies Multiple ("CCM") method determines value by applying valuation multiples (such as P/E, P/B, EV/EBITDA, EV/Sales) derived from publicly traded comparable companies to the corresponding financial metrics of the subject company. The fundamental premise is that similar businesses should trade at similar multiples.

The application of this method requires:

- Identification of truly comparable companies in terms of industry, business model, size, and growth profile
- Selection of appropriate valuation multiples reflecting the value drivers of the business
- Adjustments for differences in size, profitability, growth, and risk between the subject company and comparables

The detailed working is annexed hereto as **Annexure C**.

8. REGULATORY FRAMEWORK UNDER SEBI ICDR REGULATIONS

The valuation of equity shares for preferential issue is governed by Chapter V of the Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018 ("SEBI ICDR Regulations"). The regulatory framework establishes specific pricing mechanisms contingent upon the trading characteristics of the issuer's shares.



8.1 DETERMINATION OF FREQUENTLY TRADED SHARES STATUS

The SEBI ICDR Regulations bifurcate equity shares into two categories for pricing purposes:

(i) Frequently Traded Shares: Shares that meet specified liquidity thresholds, for which pricing is determined based on market prices under Regulation 164.

(ii) Infrequently Traded Shares: Shares that do not meet the liquidity thresholds, for which fair value is determined by independent valuation under Regulation 165.

Liquidity Test Applied:

As per the SEBI (ICDR) Regulations, 2018, a security is deemed 'frequently traded' if the annualized trading turnover in such security during the twelve calendar months preceding the relevant date on the recognised stock exchange is at least ten percent (10%) of the total number of shares of such class of security.

For Kizi Apparels Limited, the liquidity analysis for 12 months preceding the relevant date (06th February, 2026) yielded the following results:

Total traded volume during 12 months preceding relevant date	26,34,000
Total number of outstanding equity shares	78,19,200
Percentage of total shares traded	Exceeds 10% of total outstanding shares
Threshold for frequently traded status	10% minimum

Conclusion: With cumulative trading volume, significantly above the 10% threshold, the equity shares of Kizi Apparels Limited are conclusively classified as "frequently traded" for the purposes of SEBI ICDR Regulations. Consequently, Regulation 164 and Regulation 166A pertaining to frequently traded shares is applicable to this valuation.

Applicable Regulations:

Given that (a) the equity shares of the Company are frequently traded, and (b) the proposed preferential allotment exceeds 5% of the post-issue share capital (dilution of approximately 24.98%), the following regulations are applicable:

- **Regulation 164:** Floor price shall be the higher of the volume weighted average price (VWAP) for (a) 90 trading days, or (b) 10 trading days preceding the relevant date.



Continuation Sheet

- **Regulation 166A:** Where preferential allotment results in allotment of more than 5% of the post-issue fully diluted share capital or involves change of control, the price shall not be less than the fair value determined by an independent registered valuer using internationally accepted pricing methodologies on arm's length basis.

Accordingly, the floor price for the proposed preferential allotment shall be the higher of (a) the price determined under Regulation 164, and (b) the fair value determined by the independent registered valuer under Regulation 166A

8.2 REGULATION 164 - VALUATION OF FREQUENTLY TRADED SHARES

Regulatory Provision:

Regulation 164 of the SEBI ICDR Regulations provides that where the equity shares of the issuer have been listed on a recognised stock exchange for a period of at least twenty-six weeks, and the shares are 'frequently traded', the floor price shall not be less than the higher of the following:

- The volume weighted average price of the relevant equity shares quoted on the recognised stock exchange during the ten trading days preceding the relevant date; or
- The volume weighted average price of the relevant equity shares quoted on the recognised stock exchange during the ninety trading days preceding the relevant date.

8.3 REGULATION 166A - PREFERENTIAL ALLOTMENT REQUIRING VALUATION REPORT

Regulatory Provision:

Regulation 166A of the SEBI ICDR Regulations states:

"(1) Any preferential issue, which may result in a change in control or allotment of more than five per cent. of the post issue fully diluted share capital of the issuer, to an allottee or to allottees acting in concert, shall require a valuation report from an independent registered valuer and consider the same for determining the price:

Provided that the floor price, in such cases, shall be higher of the floor price determined under sub-regulation (1), (2) or (4) of regulation 164, as the case may be, or the price determined under the valuation report from the independent registered valuer or the price determined in accordance with the provisions of the Articles of Association of the issuer, if applicable."

Applicability to the Transaction:

Regulation 166A applies to preferential issues meeting either of two conditions:

- The allotment results in a change of control of the issuer company; OR
- The allotment exceeds 5% of the post-issue fully diluted share capital to an allottee or allottees acting in concert.



Where Regulation 166A is applicable, the floor price for the preferential issue is determined as the highest of:

- Fair value determined by the independent registered valuer (this report)
- Floor price under Regulation 164 (if frequently traded)
- Price specified in the Articles of Association (if applicable)

Compliance Framework:

This Valuation Report has been prepared to ensure compliance with both Regulation 164 and Regulation 166A. The fair value determined through comprehensive valuation analysis serves as:

- (i) The price for frequently traded shares under Regulation 164; AND
- (ii) The valuer-determined price for consideration under Regulation 166A, which shall constitute the floor price given that Regulation 164.

*(The computation of Volume Weightage Average Price Calculated as per Regulation 164 is enclosed herewith as **Annexure B.**)*

9. SOURCES OF INFORMATION

The following sources of information are utilized and relied upon to undertake the valuation:

- a) Audited Financial Statements of the Company for the year FY2022-23, FY2023-24, FY2024-25;
- b) Signed copy of Provisional Standalone Unaudited Financial Statement of Kizi Apparels Limited for the period ending on 31st December, 2025
- c) MOA, AOA and Certificate of Incorporation of Kizi Apparels Limited;
- d) Shareholding pattern as on 06th February, 2026;
- e) Bombay Stock Exchange (BSE) returns for trading days as on valuation date;
- f) Business plan and financial projections provided by management;
- g) Publicly available financial data of comparable companies from BSE, NSE, Screener.in, and Value Research; and
- h) Macroeconomic data from RBI, MOSPI, IMF, and Damodaran Online

In addition to the above, we have also obtained such other information and explanations in writing or orally from the Management as considered relevant for the purpose of this valuation.

It may be noted that an opportunity to review factual information in this report has been provided to the Management of the Company as a part of standard practice to ensure that factual inaccuracies/omissions/etc. are avoided.



Continuation Sheet

10. EXCLUSIONS AND LIMITATION

a) Distribution of Valuation Report

Our report is subject to scope limitations detailed hereinafter. As such, the report is to be read in totality and not in parts, in conjunction with relevant documents referred to herein. Our client is the only authorized user of this report and is restricted for the purpose indicated in the engagement letter. This restriction does not preclude the client from providing a copy of the report to third - party advisors whose review would be consistent with the intended use. I do not take any responsibility for the unauthorized use of this report.

This report is confidential being for use of person to whom it is issued. It is not to be used other than for the purpose outlined herein above. It is not to be distributed for any other purpose or to any other purpose without our consent. It does not form part of any offer or invitation to any section of public to subscribe for or purchase equity shares or assets or liabilities of the Company or lend money to the Company with or without security or lend money against the security of equity shares of the Company.

b) Responsibility as Registered Valuer

I owe responsibility to only to the client company that has appointed me under the terms of the engagement letter. I will not be reliable for any losses, claims, damages or liabilities arising out of the actions taken, omissions or advice given by any other person. In no event shall I be liable for any loss, damages, cost or expenses arising in any way from fraudulent acts, misrepresentations or wilful default on part of the client company or their directors, employees or agents.

c) Accuracy of Information

While the work has involved an analysis of financial information and accounting records, my engagement does not include an audit in accordance with generally accepted auditing standards of the clients existing business records. Accordingly, I assume no responsibility and make no representation with respect to the accuracy or completeness of any information provided by and on behalf of the client company. The report is subjected to the scope and limitations detailed in the valuation report.

d) Reliance on the representations of the clients, their management and other third parties

Our conclusion of fair value assumes that the title to assets and liabilities of the Company as reflected in balance sheet is intact.

The client and its management warranted to us that the information they supplied was complete, accurate and true and correct to the best of their knowledge. We have relied upon the



representations of the Company, their management and the third parties concerning the financial data and operational data.

No responsibility is assumed for information furnished by the Company and such information is believed to be reliable.

We have not conducted visit to locations of production and/ or point of sales of the Company. The robustness of the analysis is highly dependent on reasonableness, commercial viability and achievability of assumptions underlying the forecast. We are not required to and have not validated the reasonableness and commercial viability underlying the forecasts and assumptions.

e) Compliance with the relevant laws

The report assumes that the company complies with relevant laws and regulations applicable in its area of operations and usage unless otherwise stated, and that the companies will be managed in a competent and responsible manner. Further, as specifically stated to the contrary, this report has given no consideration to matters of a legal nature, including issues of legal title and compliance with local laws, and litigations and other contingent liabilities that are not reflected in the balance sheet provided to us.

f) Post Valuation Date/ Relevant Date Events

The user to which this valuation is addressed should read the basis upon which the valuation has been done and be aware of the potential for later variations in value due to factors that are unforeseen at the valuation date. Due to possible changes in market forces and circumstances, this valuation report can only be regarded as relevant as at the valuation date ("Relevant Date") i.e., 06th February, 2026.

g) Value Estimate

The Valuation of Company and assets is made based on the available facts and circumstances and the conclusions arrived will be subjective and dependent on the exercise of individual judgement. The valuation of company and business is not a precise science and the conclusions arrived at in many cases will be subjective and dependent on the exercise of individual judgement.

h) No Responsibility to the Actual price of the subject asset if sold or transferred/exchanged

The actual market price achieved may be higher or lower than the estimate of value depending upon the circumstances of the transaction, the nature of the business, the knowledge, negotiating ability and motivation of the buyers and sellers. Accordingly, the valuation conclusion will not necessarily be the price at which actual transaction will take place.



i) Information from reliable sources

We have relied on data from external sources also to conclude the valuation. These sources are believed to be reliable and therefore, we assume no liability for the truth or accuracy any data, opinions or estimates furnished by others that have been used in this analysis. Where we have relied on data. Opinions or estimates from external sources, reasonable care has been taken to ensure that such data has been correctly extracted from those sources or reproduced in its proper form and context.

j) Multiple factors affecting the Valuation Report

The valuation report is tempered by the exercise of judicious discretion by the RV taking into account the relevant factors. There will always be several factors, e.g., management capability, present and prospective competition, yield on comparable securities, market sentiment, etc. which may not be apparent from the Balance Sheet but could strongly influence the value.

k) It is to be noted that valuation is not a precise science and the responsibility for any decision would remain with the decision maker.

l) This valuation report at best is only an 'opinion'. It is neither a recommendation nor advice to the parties to the Transaction to conclude Transaction as contemplated in this report. The parties to the Transaction may do so at their risk and responsibility after undertaking necessary due diligence and evaluation.

m) No responsibility is accepted towards any shareholder, employees, tax authorities or other third parties in respect of, or arising out of or in connection with our valuation.

n) Prior to issuance of this Valuation Report, the contents and factual accuracies of this Report was reviewed and approved by the management of the Company.

o) Our liability if any shall be restricted to fees received by us for this assignment.

p) We assume no responsibility to update report based on changes in projections and/or their achievement in future.



11. VALUATION CONCLUSION

Based on the comprehensive valuation analysis conducted in accordance with International Valuation Standards (IVS) and in compliance with Regulation 164 and Regulation 166A of the SEBI ICDR Regulations, 2018, the Valuer has determined the fair value of the equity shares of Kizi Apparels Limited.

12. COMPLIANCE WITH REGULATION 166A**PREFERENTIAL ALLOTMENT FOR MORE THAN 5% OF POST ISSUE CAPITAL**

Particulars	Fair Value per Share (INR)	Reasoning
Floor Price under Regulation 164	Rs. 14.76	Regulation 164 pertains to frequently traded shares. The Company Kizi Apparels Limited has frequently traded shares as specified in Clause 8.1 of the Valuation Report.
Floor Price under Regulation 166A	Rs. 15.42	As per Regulation 166A provision, the floor price is the higher of Regulation 164 floor or valuer-determined price. Therefore, floor price = ₹15.42 per share.

Control Premium:

Pursuant to **Regulation 166A** of the SEBI (ICDR) Regulations, 2018, where a proposed preferential issue is likely to result in a **change in control** of the issuer, the valuation report obtained from a registered valuer is required to include guidance on the **control premium**, which is to be computed **over and above** the price determined in accordance with the applicable pricing provisions.

In the present case, based on the BSE Outcome of the Board meeting held on 12th February, 2026 the proposed preferential allotment is being made to both **Promoters and Non-promoter(s)** and the post preferential allotment **do not result in any change in control** of the issuer. Accordingly, the requirement relating to **control premium is not applicable**.



13. RECOMMENDATIONS

We have adopted Cost Approach, Income Approach and Market Approach in our valuation analysis for determination of Fair Value for Proposed Issue of Share Warrants Convertible into equivalent number of Equity Shares of the Company. In this regard, please refer to the section titled "Valuation Methodologies" for a discussion on some of the possible methods that could be used for valuation purpose.

In the light of the above and on a consideration of all the relevant factors and circumstances as discussed and outlined above in this report, in our opinion and to the best of our information and according to the explanations given to us by management, the floor price for the proposed preferential issuance of convertible share warrants by Kizi Apparels Limited has been determined at **Rs. 15.42/- (Rupees Fifteen and Twenty-Nine Paise)** per equity share as on relevant date, i.e., 06th February, 2026 as per Securities and Exchange Board of India (Issue of Capital and Disclosure Requirements) Regulations, 2018, where in the face value of the Equity Shares as per Companies Act, 2013 is Rs. 10/- each.

Based on the comprehensive valuation analysis and in compliance with the applicable regulatory framework, the Independent Registered Valuer recommends the following:

1. Minimum Issue Price:

The minimum price for the proposed preferential issue of equity shares shall not be less than ₹15.42 per share of face value of ₹10 each.

2. Regulatory Compliance:

The fair value of ₹15.42 per share has been determined in accordance with:

- Regulation 164 of SEBI ICDR Regulations (for frequently traded shares)
- Regulation 166A of SEBI ICDR Regulations (for preferential allotments)
- International Valuation Standards (IVS) 2022
- Companies (Registered Valuers and Valuation) Rules, 2017

3. Valuation Validity:

This valuation is relevant as of the Valuation Date of 06th February, 2026. Any material changes in the Company's financial position, business operations, market conditions, or regulatory environment subsequent to this date may necessitate a revision of the fair value conclusion.

4. Board and Shareholder Approval:

The Company is advised to obtain necessary approvals from the Board of Directors and shareholders for the preferential issue at a price not less than the fair value determined herein, in accordance with applicable provisions of the Companies Act, 2013 and SEBI ICDR Regulations.



5. Disclosure Requirements:

This Valuation Report should be disclosed to the stock exchanges and made available to shareholders as required under Regulation 166A and other applicable provisions of SEBI ICDR Regulations.

Thanking you,

For, Atharva Valuation (OPC) Private Limited

Reg. No.: IBBI/RV-E/03/2022/174



Keyur J. Shah

Director/Registered Valuer

DIN: 03111182

(Regn. No.: IBBI/RV/03/2019/12123)



Date: 16th February, 2026

Place: Ahmedabad

Encl: as above

Continuation Sheet

ANNEXURE – A OVERALL VALUATION

Pursuant to Regulation 166A (2) of the SEBI ICDR Regulations, the floor price for the proposed preferential issuance shall be the higher of the price determined under Regulation 164 and the fair value determined by the Registered Valuer under Regulation 166A:

Component	Value per Share (INR)
Regulation 164 Floor Price (VWAP-based)	INR 14.76
Regulation 166A Fair Value (Registered Valuer)	INR 15.42
Final Floor Price (Higher of Above)	INR 15.42

*It is further noted that the proposed allotment does not involve a change of control within the meaning of Regulation 166A (3); accordingly, **no control premium** has been factored into the fair value determination.*



Continuation Sheet

ANNEXURE B
REGULATION 164: COMPUTATION OF VOLUME WEIGHTED AVERAGE PRICE

A. 10-Days Volume Weightage Average Price

The 10-day VWAP has been computed based on the daily trading data of the Company's equity shares on the BSE Limited for the ten trading days immediately preceding the relevant date (06th February, 2026):

Date	Weightage Average Price (In Rs.)	No. of Shares	Turnover (In Rs.)
04-Feb-2026	14.67	1,02,000	14,96,520
03-Feb-2026	11.10	48,000	5,32,920
02-Feb-2026	11.27	72,000	8,11,080
01-Feb-2026	12.50	9,000	1,12,500
30-Jan-2026	12.50	3,000	37,500
29-Jan-2026	12.50	3,000	37,500
28-Jan-2026	12.50	3,000	37,500
27-Jan-2026	11.33	9,000	1,02,000
23-Jan-2026	12.50	3,000	37,500
21-Jan-2026	12.00	3,000	36,000
Total		2,55,000	32,41,020
10-Day VWAP			Rs. 12.71

10-Day VWAP = Total Turnover / Total Shares Traded = Rs. 32,41,020 / 2,55,000 = **Rs. 12.71 per share**



B. 90-Days Volume Weighted Average Price

Similarly, the 90-day VWAP has been computed based on the daily trading data for the ninety trading days preceding the relevant date. After aggregating the total turnover and total quantity traded over the 90-day period, the 90-day VWAP has been determined at **Rs. 14.76 per share.**

Date	WAP (₹)	No. of Shares	Total Turnover (₹)
04-Feb-26	14.67	102000.00	1496520.00
03-Feb-26	11.10	48000.00	532920.00
02-Feb-26	11.27	72000.00	811080.00
01-Feb-26	12.50	9000.00	112500.00
30-Jan-26	12.50	3000.00	37500.00
29-Jan-26	12.50	3000.00	37500.00
28-Jan-26	12.50	3000.00	37500.00
27-Jan-26	11.33	9000.00	102000.00
23-Jan-26	12.50	3000.00	37500.00
21-Jan-26	12.00	3000.00	36000.00
16-Jan-26	13.28	6,000	79,650.00
13-Jan-26	13.83	9,000	1,24,500.00
12-Jan-26	13.52	9,000	1,21,650.00
08-Jan-26	14.31	30,000	4,29,150.00
07-Jan-26	15.82	45,000	7,11,840.00
06-Jan-26	13.50	36,000	4,85,880.00
05-Jan-26	11.32	15,000	1,69,860.00
02-Jan-26	13.00	3,000	39,000.00
01-Jan-26	13.00	3,000	39,000.00
24-Dec-25	13.27	9,000	1,19,400.00
19-Dec-25	12.22	24,000	2,93,220.00
09-Dec-25	13.45	6,000	80,700.00
08-Dec-25	12.46	12,000	1,49,550.00
05-Dec-25	12.55	18,000	2,25,930.00
04-Dec-25	12.76	6,000	76,530.00
27-Nov-25	13.15	3,000	39,450.00
25-Nov-25	13.40	3,000	40,200.00
24-Nov-25	13.12	12,000	1,57,410.00
19-Nov-25	13.90	3,000	41,700.00
17-Nov-25	13.21	18,000	2,37,840.00
13-Nov-25	13.67	45,000	6,15,330.00
12-Nov-25	14.40	30,000	4,31,850.00



Continuation Sheet

11-Nov-25	14.47	9,000	1,30,230.00
03-Nov-25	14.22	21,000	2,98,560.00
31-Oct-25	13.87	9,000	1,24,830.00
30-Oct-25	13.84	15,000	2,07,540.00
29-Oct-25	13.78	9,000	1,24,050.00
28-Oct-25	14.47	15,000	2,17,020.00
27-Oct-25	14.14	27,000	3,81,780.00
24-Oct-25	14.30	6,000	85,800.00
23-Oct-25	13.97	36,000	5,03,070.00
21-Oct-25	14.67	3,000	44,010.00
20-Oct-25	14.31	9,000	1,28,790.00
13-Oct-25	15.07	12,000	1,80,870.00
10-Oct-25	15.77	3,000	47,310.00
09-Oct-25	15.02	3,000	45,060.00
08-Oct-25	15.43	6,000	92,580.00
07-Oct-25	15.43	12,000	1,85,160.00
30-Sep-25	16.15	6,000	96,900.00
26-Sep-25	16.23	15,000	2,43,480.00
23-Sep-25	16.90	3,000	50,700.00
22-Sep-25	16.05	6,000	96,300.00
19-Sep-25	15.75	6,000	94,500.00
18-Sep-25	15.85	6,000	95,100.00
17-Sep-25	15.89	12,000	1,90,710.00
15-Sep-25	16.19	15,000	2,42,880.00
12-Sep-25	17.05	6,000	1,02,300.00
11-Sep-25	17.07	18,000	3,07,170.00
10-Sep-25	16.71	30,000	5,01,240.00
08-Sep-25	16.06	3,000	48,180.00
05-Sep-25	16.91	33,000	5,58,180.00
04-Sep-25	16.55	6,000	99,270.00
03-Sep-25	15.80	6,000	94,800.00
02-Sep-25	15.80	9,000	1,42,200.00
28-Aug-25	16.58	3,000	49,740.00
22-Aug-25	16.61	18,000	2,99,010.00
19-Aug-25	17.05	18,000	3,06,930.00
18-Aug-25	17.60	12,000	2,11,230.00
14-Aug-25	18.28	3,000	54,840.00
13-Aug-25	18.27	9,000	1,64,430.00
12-Aug-25	17.26	9,000	1,55,370.00



07-Aug-25	16.70	3,000	50,100.00
05-Aug-25	16.64	18,000	2,99,460.00
04-Aug-25	19.15	3,000	57,450.00
30-Jul-25	16.65	27,000	4,49,550.00
29-Jul-25	16.85	63,000	10,61,700.00
25-Jul-25	15.72	12,000	1,88,610.00
16-Jul-25	17.73	6,000	1,06,350.00
14-Jul-25	17.75	3,000	53,250.00
09-Jul-25	17.75	6,000	1,06,500.00
07-Jul-25	18.04	9,000	1,62,330.00
04-Jul-25	18.40	6,000	1,10,400.00
03-Jul-25	18.85	3,000	56,550.00
02-Jul-25	18.23	12,000	2,18,700.00
01-Jul-25	18.25	3,000	54,750.00
27-Jun-25	18.32	9,000	1,64,880.00
26-Jun-25	18.21	9,000	1,63,920.00
25-Jun-25	18.30	3,000	54,900.00
24-Jun-25	17.55	3,000	52,650.00
23-Jun-25	17.55	3,000	52,650.00
Total		12,48,000	1,84,17,480

Determination of Floor Price as per Regulation 164	
10-Day VWAP	Rs.12.71
90-Day VWAP	RS. 14.76
Floor Price (Higher of Above)	Rs.14.76



ANNEXURE C
REGULATION 166A: FAIR VALUE DETERMINATION

In compliance with Regulation 166A (2) of the SEBI ICDR Regulations, the fair value of the equity shares has been determined as the weighted average of the three valuation methodologies adopted:

Method	Value/Share (In Rs.)	Weight	Weighted Value
NAV Method (Asset Approach)	19.06	35.0%	6.67
DCF Method (Income Approach)	9.64	30.0%	2.89
Market Comparables (Market Approach)	16.74	35.0%	5.86
Fair Value as per Regulation 166A			Rs. 15.42

A. Net Asset Value (NAV) Method

The Net Asset Value method determines the equity value by subtracting the total liabilities from the total assets of the Company as per the most recent financial statements. The balance sheet as at 31st December, 2025 (unaudited/provisional) has been considered for this purpose:

(Amount in Lakhs)

Particulars	Fair Value as on 31.12.2025
Net Assets as per Books	3,208.49
Less: Total Liabilities (excluding Equity)	1,718.13
Less: Intangible Assets	Nil
Add/Less: Revaluation Adjustments	Nil
Net Asset Value	1,490.36
Number of Equity Shares	78,19,200
FAIR VALUE PER SHARE (NAV)	Rs. 19.06

The Valuer notes that no material adjustments to the book values of assets or liabilities have been identified that would necessitate a departure from the reported book values. Accordingly, the NAV has been adopted at book value.



Continuation Sheet

B. Discounted Cashflow (DCF) Method

WACC Computation: The Weighted Average Cost of Capital (WACC) has been computed on a time-varying basis to reflect the evolving capital structure of the Company over the projection period. As the Company progressively repays its long-term debt, the debt weight decreases, resulting in WACC converging towards the cost of equity:

$$WACC = (W_e \times K_e) + (W_d \times K_d)$$

(Amount in Lakhs)

Particulars	Cost of Equity (Ke)	Cost of Debt (Kd)	Equity	Equity Weight	Debt	Debt Weight	WACC
Year 1	18.299%	7.218%	1,863.26	95.60%	85.67	4.40%	17.495%
Year 2	18.299%	7.218%	1,986.31	96.92%	63.19	3.08%	17.735%
Year 3	18.299%	7.218%	2,179.89	98.69%	28.89	1.31%	18.060%
Year 4	18.299%	7.218%	2,421.47	98.82%	28.89	1.18%	18.083%
Year 5	18.299%	7.218%	2,760.07	100.00%	0.00	0.00%	18.299%

The time-varying WACC ranges from **17.495% in Year 1** (reflecting the existing debt) to **18.299% in Year 5** (when the Company becomes debt-free and WACC equals Ke). This approach ensures that the discount rate accurately reflects the Company's evolving risk profile.

Free Cash Flow to Firm (FCFF) Projections

(Amount in Lakhs)

Particulars	Year 1	Year 2	Year 3	Year 4	Year 5
Net Sales	4,000.00	5,000.00	6,000.00	7,200.00	8,640.00
EBIT	249.09	350.00	410.00	540.00	648.00
Add: Depreciation	18.50	17.00	15.80	14.22	12.80
Less: Tax on EBIT	47.42	74.61	93.11	130.51	161.75
NOPAT + Dep.	220.17	292.39	332.69	423.71	499.05
Less: ΔWC	677.80	265.52	254.02	162.86	360.00
FCFF	(76.27)	26.87	78.67	260.85	139.05
Discount Factor	0.9735	0.8266	0.6979	0.5908	0.4965
PV of FCFF	(74.25)	22.21	54.90	154.10	69.04

Note: Negative FCFF in Year 1 is attributable to significant working capital investment required to support the Company's revenue ramp-up from 9-month provisional figures to full-year projections.



Valuation Summary:

Particulars	Amount
Aggregate PV of FCFF	226.00
Terminal Value (PV at Valuation Date)	593.05
Add: Cash & Bank Balances	9.49
Enterprise Value	828.54
Less: Outstanding Debt	74.83
Value of Equity	753.71
Number of Shares	78,19,200
FAIR VALUE PER SHARE (DCF)	Rs. 9.64

C. Market Comparable Method

The following peer companies in the textile-apparel sector have been identified for the purpose of deriving comparable valuation multiples. A 40% discount has been applied to the peer multiples to account for the size, liquidity, and scale differences between BSE mainboard companies and BSE SME-listed companies:

Sr No.	Peer Company	EV/EBITDA	P/E	P/BV
1.	S.P. Apparels Ltd.	13.20	17.84	2.20
2.	Monte Carlo Fashions	7.11	13.68	1.31
3.	Scoobee Day Garments	8.10	18.50	4.84
4.	Visagar Polytex	7.50	12.80	0.85
5.	Peer Average	8.98	15.71	1.45
6.	Adj. Multiple (-40%)	5.39	9.42	1.02

Market Approach Valuation

Multiple	Base Value	Adj. Multiple	Equity Value	Per Share	Weight
EV/EBITDA	252.18	5.39x	1,278.39	16.35	20%
P/E	132.65	9.42x	1,249.96	15.99	60%
P/BV	1,490.36	1.02x	1,516.19	19.39	20%
WEIGHTED AVERAGE				INR 16.74	100%

